

IRFC 2.0: Financing Infrastructure through Discipline, Depth, and Domestic Strength



IRFC has undergone a visible strategic shift in recent years. What were the key factors that prompted this transition?

The shift was shaped by a broader policy evolution. With Indian Railways receiving full budgetary support for capital expenditure, IRFC experienced a pause

in disbursements. While this reflected the government's strong fiscal position, it also underlined the need for IRFC, as a listed entity, to build a more resilient and diversified business model. That moment encouraged us to re-examine our mandate and position IRFC for long-term

relevance within India's infrastructure financing ecosystem.

How does diversification align with IRFC's original mandate?

Diversification is not a departure from our mandate; it is a fuller expression of it. Our charter allows us to finance assets with backward and forward linkages to railways. Railways do not operate in isolation — they are embedded in logistics, power, urban mobility, and industrial supply chains. By financing these linked sectors, we are strengthening the railway ecosystem while supporting national infrastructure priorities in a holistic manner.

IRFC now competes actively with banks and other financial institutions. What gives you confidence in this competitive environment?

Our confidence stems from structural strengths. IRFC is a zero-NPA institution with one of the lowest cost of borrowing in the system, supported by a strong sovereign linkage. Equally important is our lean operating model — we function purely as a B2B lender, which keeps overheads exceptionally low. When these efficiencies are combined, we can offer competitive pricing while maintaining financial discipline. This has allowed us to compete successfully even in open, market-based bidding processes.

Zero NPAs seem to be a cornerstone of IRFC's philosophy. How does this shape your approach to growth?

For us, zero NPA is not just a metric; it is a mindset. It influences how we select projects, structure risk, and engage with borrowers. With a large balance sheet, asset quality becomes the primary responsibility. This discipline enables us to borrow at finer spreads, attract long-term investors, and deploy capital